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August 12, 2002

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Professor Edward Chang
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RE: Foreign Filing Corres. To U.S. Provisional Patent Application
No. 60/324,766
FOR: DISCOVERY OF A PERCEPTUAL DISTANCE FUNCTION FOR MEASURING IMAGE SIMILARITY
By: Edward Y. CHANG
Our reference: 50995-30003.00

Dear Ed:

The above-referenced provisional application was filed in the U.S. Patent and Trademark Office on September 24, 2001. It is necessary for you to now consider whether to refile this application as a regular U.S. patent application and/or whether patent protection is desired in any other countries. At this time you should also carefully review the application and advise us immediately if there is any additional disclosure that should be added to the application before foreign filing.

In the attached pages, we have provided an outline of the foreign filing process, and have given some details about the procedure and costs involved in filing in some of the key countries. We hope that this discussion of the major countries will help you to determine how to proceed with filing your patent application abroad. In deciding which foreign countries are appropriate, there are many other factors to consider, such as the expected marketing or licensing value of the invention, the patent laws of various countries, and cost.

Please let me know if we can answer any other questions or if you need more extensive information. If you wish to file this application in any other countries, we must hear from you as soon as possible, in order to enable us to prepare the best possible application for filing overseas and to arrange for the appropriate translations, if necessary.

Kindly complete the enclosed Client Instruction Sheet and return it to us by August 24, 2002.

Sincerely,

Stephen C. Durant

Enclosures

Return your instructions to us by August 24, 2002 at:

Stephen C. Durant
Morrison & Foerster LLP
425 Market St.
San Francisco, California 94105-2482
Attn: International Patent Department

RE: Foreign Filing Corres. To U.S. Provisional Patent Application No. 60/324,766
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FOREIGN FILING DEADLINE: September 24, 2002

☐ Please FILE this application in the following countries:

_____

_____

_____

☐ Please FILE this application in the PCT designating the following countries:

_____

_____

_____

☐ Please DO NOT FILE this application outside the United States.

_____ _____

Date Signature

OVERVIEW OF THE FOREIGN FILING PROCESS

Due to international treaties such as the General Agreement on Tariffs and Trade (GATT), the rules for intellectual property protection are becoming more uniform. The usual patent term is 20 years from the filing date of the earliest claimed priority application. The U.S. has aligned itself with this standard through the GATT implementing legislation, which came into effect on June 8, 1995.

Patents continue to be enforced separately by each sovereign state. To acquire protection for your invention abroad, it is necessary to obtain an issued patent in each jurisdiction. For some jurisdictions, initial filing can occur through the PCT or the EPC, as discussed below. Ultimately, an application must be pursued in each country in which you desire protection. This means that it will have to be presented in the country's official language. In most industrial countries, the application undergoes an examination procedure similar to that in the U.S., requiring applicants to defend their claims.

The cost of obtaining a patent varies considerably among countries. Costs can include translation fees, filing fees, the cost of responding to examinations, and yearly annuities or taxes to keep the application in good standing. In very rough terms, the cost of filing a patent application in a given country is equal to the cost of continuing prosecution until the patent issues. When translation is necessary, there is an additional cost, usually at least $6,000. In some instances, these expenses can be postponed temporarily by filing applications through the PCT or the EPC, or by delaying the request for examination.

Filing under the PCT

The *Patent Cooperation Treaty (PCT)* provides a mechanism through which a single application initiates the patent review process in a number of jurisdictions world-wide. As shown in the accompanying list, there are 115 nations that participate, including most industrialized nations. The application may be submitted in English to a designated receiving office, such as the one in Washington, D.C.

Later on, the PCT application evolves into national applications in each of the countries designated by the applicant. It is only at the national stage that translations and foreign filing fees must be provided. By filing international applications through the PCT, you can delay the necessity of filing in individual countries for 8 to 18 months from the time the PCT application is filed. Furthermore, at the 19-month point (measured from the earliest U.S. priority application), you can file a *Chapter II Demand*, which results in a preliminary evaluation within the central organization for patentability, novelty, and non-obviousness.

The fee for filing through the PCT is about $2,800, depending on the length of the application and the number of countries designated. Designation is $88.00 per

country with a maximum fee of $440.00. Therefore, if you intend to seek patents in several jurisdictions, you may wish to designate all PCT participating countries at the time of initial filing. If you decide not to pursue your application in a particular country, it can be dropped before entry into the national phase. The cost of obtaining the 18-month delay for national phase and filing the Chapter II Demand can be anywhere from $1,100 - $3,000, depending on which examination authority one selects (U.S. or EP). PCT costs are in addition to the usual costs incurred in each jurisdiction you ultimately pursue.

We recommend filing international applications through the PCT if you are uncertain about the commercial importance of your invention, or if you wish to postpone the costs of national applications. The postponement gives you more time to perfect your invention, explore its business potential, and evaluate its patentability and potential market in each of the designated countries. The principle disadvantage of using this route is that the patent term in most countries is measured from the date of filing of the international application. Thus, delaying national examination shortens the effective term of an issued patent.

The European Patent Convention

The EPC does for Europe what the PCT does for the world as a whole: it provides a centralized procedure for filing patent applications simultaneously in a number of European countries. However, the EPC goes a step further: it provides for the direct issuance of patents in members of the *European Patent Convention* through a single, centralized examination. Currently, there are 20 members of the EPC. A European patent is not a single unitary instrument, but a bundle of national patents in each of the chosen countries. Once granted, it can be converted into an issued patent in any country that was designated, without further prosecution. These are subject to each country's national laws on validity and infringement. Additionally, separate annual annuities are due for each country. The term of a European patent is 20 years from the effective EPC filing date.

As with individual jurisdictions, the cost of prosecution through the EPC can be postponed by filing initially through the PCT, indicating the EPC as one of the designated recipients.

The filing fee in the EPC is approximately $8,000. We recommend that you designate all EPC member countries at the time of filing, since a country cannot be added after the filing date. The cost of doing so is only $532. The application is published approximately 18-months after the filing date. Six months later, another $2,500 is payable to start the examination proceedings. In addition, annual annuities are payable, commencing on the second anniversary of the filing date. They begin at $573, and increase yearly throughout the life of the patent. It can take up to 5 years to receive the first Official action, and a typical response costs $2,000-$2,500, depending on the complexity. The applicant is usually given three opportunities to get the application in condition for allowance.

Once the application is accepted, a number of substantial fees must be paid at the national level. It currently costs about $25,000 to obtain patents in all of the EPC

countries, the majority of which is the cost of translations. Countries in which you no longer have an interest can be dropped at this time. For each of those countries retained, annuities are due throughout the patent term.

Some key countries

Depending on your business plan, there may be foreign countries that are of particular importance to your patent portfolio. The following sections outline some countries where we frequently file applications on behalf of our clients. Should you wish to obtain patent protection in a country other than those described here, we would be happy to provide further details.

Japan

Filing a Japanese application is expensive, due principally to translation expenses of about $6,000. There are no expenses after filing until the applicant makes a request for examination. A request does not need to be made until 3 years after the Japanese filing date or 3 years from the PCT filing date. The patent term is 20 years from the application date. Delaying examination postpones prosecution costs and gives the applicant more opportunity to assess the patent potential in Japan, but it also compromises the effective term of the patent.

Prosecution expenses are higher in Japan than in most other countries. The cost of requesting examination is about $2,000, depending on the number of claims. The cost of responding to each Official Action is about $3,000, depending on complexity. There are no annual taxes payable in Japan until the patent is issued. Thereafter, taxes are calculated on an escalating scale depending on the number of claims and the year after issuance. A patent with three claims will have annual taxes starting at about $500, increasing to about $1,200 towards the end of the term.

Canada

The initial cost of filing a patent application in Canada is fairly low, approximately $2,000. As in Japan, the request for examination can be delayed up to 5 years from the effective filing date. The patent term in Canada is 20 years from the filing date, and any delay will reduce the effective patent term. The examination fee is about $700, and the cost of preparing a typical response is also about $1,000. Taxes are payable annually, commencing 2 years after the filing date, regardless of when examination is requested. The annual tax rate starts at about $300, and goes up to $600 towards the end of the patent term.

Australia

Australia is another relatively inexpensive country in which to seek a patent. Initial filing fees are about $2,500. However, examination of the application cannot normally be deferred. There are two types of examination available. Under normal examination, the application is fully scrutinized, often involving at least one Official Action to which the applicant must respond. If a patent has been issued in another country such as the U.S., the Australian application may undergo a modified

examination. Under this procedure, the text and claims are conformed to the foreign application as issued, facilitating the examination process. Once issued, the term of an Australian patent is 20 years from the filing date.

The examination fee is about $600, normal examinations being slightly more than modified examinations. The cost of responding to an Office Action is about $1,500, depending on complexity. Annuities are payable commencing on the third anniversary of the filing date throughout the patent life. The annual amount starts at about $300, escalating to $670 at the end of the patent term.

Filings in Non-Convention Countries

You may also want to consider filing applications in countries which are not party to the Paris Convention, e.g., Taiwan, Pakistan, etc. With the exception of Taiwan, which has a reciprocity agreement in place and therefore claiming priority is an option, when filing in these countries applicants cannot claim the benefit of the filing date of a priority application. Thus, applications in these countries should be filed shortly after filing of the U.S. application to prevent premature disclosure of the invention, which can be a bar to patent protection in non-convention countries.

Conclusion

The costs outlined in this document are only estimates. The actual costs to you will depend on a number of factors, including the length and complexity of your application, government fees, fluctuations in foreign exchange rates, and charges from our foreign associates. Currently, our standard service charge for the initial filing of each direct national application is $825.00 and $950.00 per international application. This is a per-country charge.

Determining where to seek patent protection is a complex decision. Considerations include the costs of each application, the nature of patent laws of each country, and the expected commercial value of the invention.

This document is only a survey of some of the issues involved. We will gladly assist you in developing a strategic plan for a portfolio of effective foreign patents.